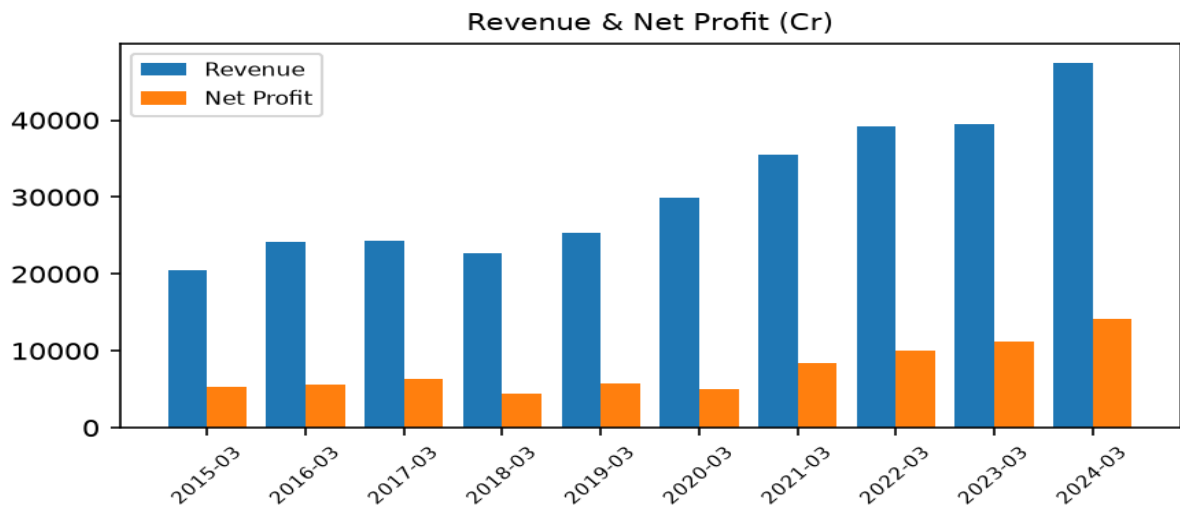


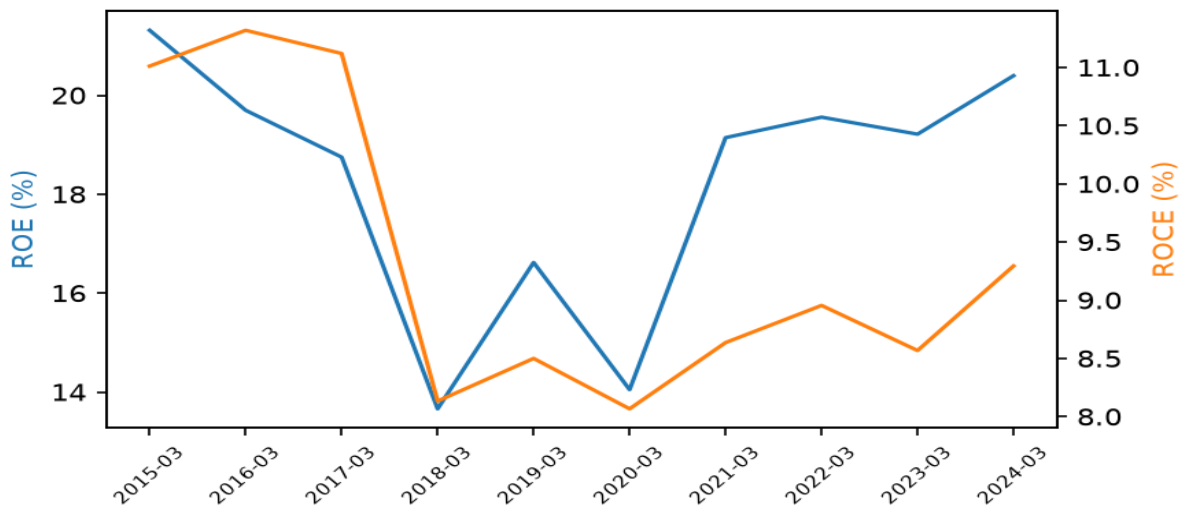
# REC Ltd (RECLTD)

|                     |                                  |                                        |
|---------------------|----------------------------------|----------------------------------------|
| <b>ROE</b><br>20.4% | <b>ROCE</b><br>9.3%              | <b>Net Profit Margin</b><br>29.8%      |
| <b>D/E</b><br>6.4   | <b>Revenue CAGR 5yr</b><br>13.3% | <b>Free Cash Flow (Cr)</b><br>-59554.0 |

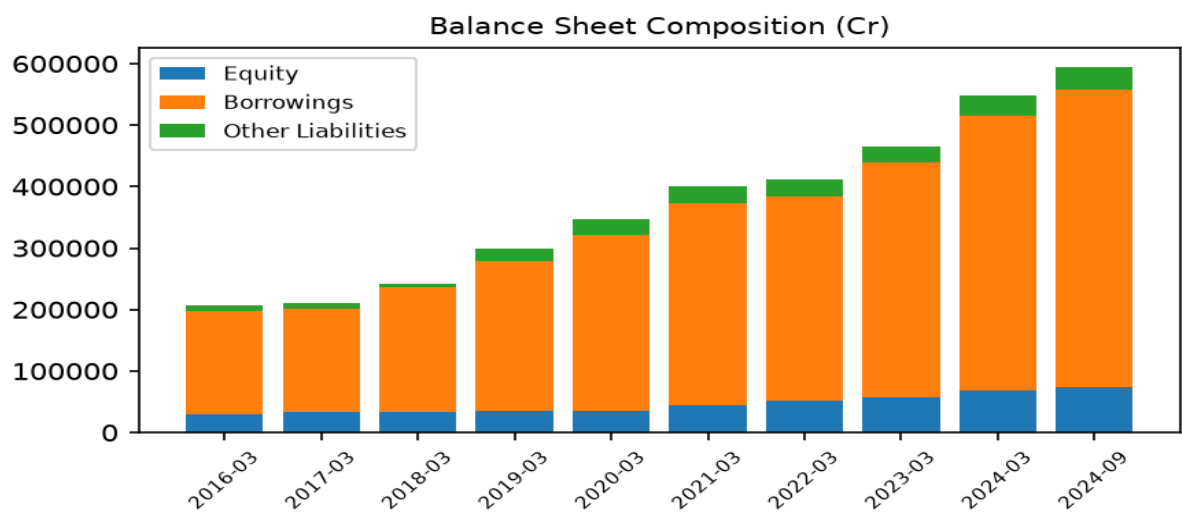
## Revenue & Net Profit (10yr)



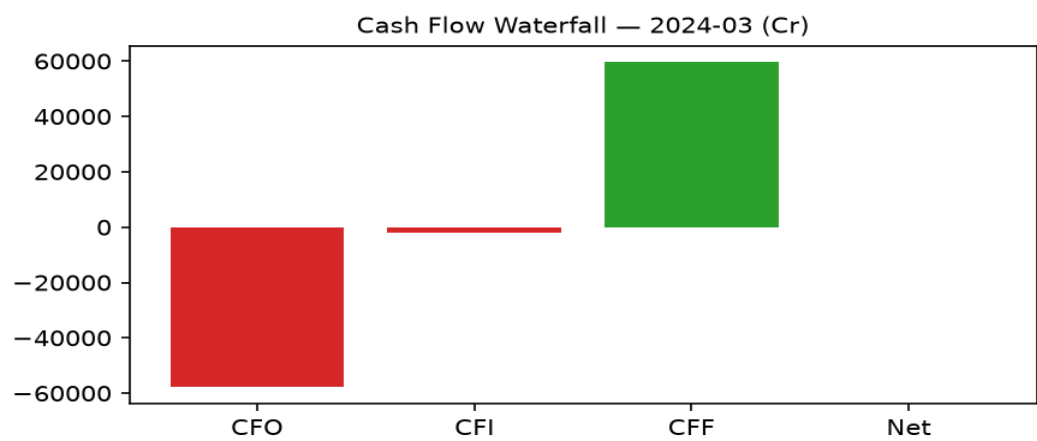
## ROE & ROCE (10yr)



## Balance Sheet Composition



## Cash Flow (Latest Year)



### Pros

- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

### Cons

- ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Growth Funded by Debt